Return on Total Invested Capital

The ratio used for determining whether the capital available to a company has been efficiently used is the return on total invested capital. By using this ratio, an investor can check whether he could have earned more elsewhere. It therefore gives him an opportunity to compare returns from alternative companies. Invested capital in this ratio includes all liabilities that have a cost associated with them, such as debentures, share capital and loans. The ratio is arrived at by dividing a company's earnings before interest and tax by average total invested capital:

$$\text{Return on total invested capital} = \frac{\text{Earnings before interest \& tax}}{\text{Average total invested capital}}$$

Illustration

Bombay Pistons Ltd's earnings before interest and tax in the current year was Rs. 18.50 crore.
Its total invested capital in the current year and the previous year was as follows:

	Previous Year *Rs. (crore)*	Current Year *Rs. (crore)*
Term Loan	150	120
Debentures	500	500
Shareholders' funds	80	85
Total invested capital	730	705

The return on total invested capital is:

$$\frac{18.50}{0.5 \times (730 + 705)} \times 100 = 2.58$$

An investor must check whether the return on capital is higher than the prevailing rate of interest and the weighted average cost of borrowings. If the rate of interest is higher then the return on the capital should be considered inadequate.